

Best's Credit Rating Effective Date

September 18, 2025

Analytical Contacts

Kevin Varvaro
Senior Financial Analyst
Kevin.Varvaro@ambest.com
+1(908) 439-2200 Ext. 908-882-2410

Kathryn Steffanelli
Associate Director
Kate.Steffanelli@ambest.com
+1(908) 439-2200 Ext. 908-882-2337

Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

IA American Life Group

AMB #: 070453

Associated Ultimate Parent: AMB # 044206 - iA Financial Corporation Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Marginal
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: IA American Life Group | **AMB #:** 070453

AMB # Rating Unit Members
009122 American-Amicable Life Ins TX
060682 IA American Life Insurance Co
006849 Occidental Life Ins Co of NC

AMB # Rating Unit Members
006929 Pioneer American Ins Co
006935 Pioneer Security Life Ins Co

Rating Rationale

Balance Sheet Strength: **Very Strong**

- IA American Life Group (IAALG) has maintained the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR) over the long term through both retained earnings and capital contributions from the parent company.
- Material use of reinsurance relative to peers historically, however, this has declined over time and ceded business is to primarily high-rated counterparties.
- The group manages a conservative investment portfolio that is heavily weighted in investment-grade fixed-income securities with only minor holdings in mortgage loans, real estate, and Schedule BA assets.

Operating Performance: **Marginal**

- With the exception of favorable results achieved in 2022, the group has reported a mixture of modest and unfavorable statutory operating results over the previous five years due in part to the expense strain from new business production.
- Premium growth continues to be favorable and consistent over the past five years with a compound annual growth rate over that time frame of approximately 13% after reinsurance ceded. It is expected this trend will continue to produce statutory expense strain from new business production; however, this aspect has been backed historically by capital contributions from the parent.
- Net investment income has seen continuous growth year over year driven by both a larger asset base and enhanced yield from the rise in interest rates beginning in 2022.

Business Profile: **Neutral**

- Long-term strategy to grow business in its core market of individual life insurance despite limited brand recognition and scale within the U.S. compared to longer-established competitors. Acquisitions and organic growth have contributed significantly over the past several years in expanding the greater organization's footprint in the country.
- U.S. operating earnings as a percentage of the overall earnings of its parent, Industrial Alliance Insurance & Financial Services Inc. (IA), have been on a favorable trend over the long term despite some volatility in results as the group executes to improve scale.
- Product risk is considered low relative to peers with individual term, final expense, and traditional whole life being the group's top product lines.

Enterprise Risk Management: **Appropriate**

- IAALG's ERM framework is well developed and demonstrates the organization's risk-averse approach to preserving capital.
- The organization utilizes financial condition testing that simulates stress scenarios to ensure solvency ratios and key performance indicators remain within set limitations.
- The organization regularly monitors future risks including regulatory changes, economic downturns, talent shortages, cyber attacks and others to determine potential impacts to financial results.

Rating Lift/Drag

- AM Best expects that the group will continue to receive the support of IA if or when needed, as the parent is fully committed to the success of its U.S. operations as exemplified by substantial capital infusions in 2020, 2021, and 2024.
- IA manages the actuarial reserves and investment portfolio of the U.S. operations utilizing the expertise and talent of its home office staff.
- IAALG is essential to the greater organization's strategy to achieve scale and compete with more established insurers in the U.S. market.

Outlook

- The stable outlooks reflect AM Best's expectation the group will maintain its strategic importance to its parent over the intermediate term and that the group will maintain its fundamentals, underpinned by a neutral business profile and a very strong balance sheet strength assessment.

Rating Drivers

- Negative rating actions could be driven by a deterioration in AM Best's view of the strategic importance of IA American Life Group to Industrial Alliance Insurance & Financial Services Inc.
- Positive rating actions could be driven by a sustained improvement in IA American Life Group's operating performance metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	70.0	59.2	54.8	53.7

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	1,704,803	1,456,020	1,630,709	1,414,059	1,351,334	1,274,982	1,147,027
Total	1,704,803	1,456,020	1,630,709	1,414,059	1,351,334	1,274,982	1,147,027
Liabilities:							
Net Life Reserves	1,375,838	1,217,292	1,311,798	1,165,124	1,052,928	985,977	899,259
Net Accident & Health Reserves	6,005	6,660	6,212	6,723	7,224	7,364	7,923
Liability for Deposit Contracts	10,187	10,277	10,142	10,369	10,668	11,414	11,726
Asset Valuation Reserve	11,152	9,570	9,882	8,378	6,995	5,615	4,996
Other General Account	53,578	44,352	48,720	43,837	81,746	82,838	76,930
Total	1,456,760	1,288,151	1,386,754	1,234,431	1,159,561	1,093,207	1,000,833
Total Capital and Surplus	248,043	167,869	243,955	179,628	191,773	181,775	146,194
Net Income	8,777	-156	-12,615	374	19,588	-1,136	-21,956
Net Premiums Earned	304,427	255,333	579,518	477,263	422,702	399,822	347,261
Net Investment Income	36,108	29,733	62,049	53,787	44,539	43,791	39,576

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	2.3	...	-1.8	0.1	3.4	-0.3	-4.7	-0.5
Operating Return on Capital and Surplus	7.1	-0.2	-6.0	0.2	10.5	-0.8	-16.2	-1.8
Net Investment Yield	4.6	4.3	4.3	4.0	3.5	3.7	3.7	3.9
Pre-Tax Investment Total Return	4.6	4.3	2.9	0.4	1.9	4.4	5.6	2.9

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	5.9	7.7	5.7	6.9	6.0	6.0	6.8
Higher Risk Assets to Capital and Surplus:							
All Other Higher Risk Assets	8.3	10.9	8.2	9.5	9.7	10.8	16.0

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	104.6	101.1	104.0	102.8	105.2	105.3	102.3
Net Operating Cash Flow USD (000)	74,470	52,766	133,178	118,251	77,735	76,191	42,733

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

IAALG's risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), is at the strongest level relative to the group's business and investment risks. AM Best expects the group to remain more than adequately capitalized despite some further anticipated surplus strain from new business production. Growth in capital for the group has been favorable over the long-term through a combination of capital contributions from the parent and retained earnings.

Despite IAAG's above average reinsurance leverage historically due ceding a material percentage of their business to high rated reinsurers, many of which are fulfilling legacy contracts, growth in direct premiums has continued resulting in declines in that leverage more recently to better align with the industry average. It is noted that reinsurance leverage was above 400% prior to 2021 and has since remained under that level despite continued utilization falling to just under 300% in 2024.

Capital Generation Analysis USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	243,955	179,628	179,628	191,773	181,775	146,194	125,142
Net Operating Gain	8,777	-156	-12,615	374	19,588	-1,393	-21,956
Net Realized Capital Gains (Losses)	...	...	...	...	...	257	...
Net Unrealized Capital Gains (Losses)	...	...	...	...	...	17	31
Net Change in Paid-In Capital and Surplus	...	...	100,000	10,000	...	40,000	40,000
Other Changes in Capital and Surplus	-4,689	-11,603	-23,058	-22,519	-9,590	-3,299	2,977
Net Change in Capital and Surplus	4,088	-11,760	64,326	-12,144	9,998	35,581	21,052
Ending Capital and Surplus	248,043	167,869	243,955	179,628	191,773	181,775	146,194
Net Change in Capital and Surplus (%)	1.7	-6.5	35.8	-6.3	5.5	24.3	16.8
Net Change in Capital and Surplus (5 yr CAGR)	...	...	14.3	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

The group's investment portfolio is comprised primarily of bonds which comprise the vast majority of total invested assets at over 90% for year-end 2024. Cash, short-term holdings, and policy loans make up approximately 6% of the portfolio. The balance of the asset portfolio is held in mortgages, real estate, and other invested assets. The bond portfolio is comprised almost entirely of investment grade securities. The mortgage portfolio is generally performing well, being 100% commercial loans with no foreclosures over the past several years. Investment portfolio allocations remained largely stable through 2Q 2025. The overall liquidity of the portfolio, as measured by AM Best's overall liquidity ratio, remains strong as it remains above the life industry average.

All of IA's investment activities are combined under a single authority, although they do work out of several locations Canada-wide, which allows for optimal use of resources and knowledge. As a result, the investments related to the group's U.S. operations are managed using similar investment policy as those used in managing the Canadian business.

Balance Sheet Strength (Continued...)

Composition of Cash and Invested Assets	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	1,595,134	1,373,774	1,511,561	1,341,510	1,292,306	1,230,126	1,105,521
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	2.3	2.4	1.8	2.1	2.5	2.4	1.6
Bonds	91.3	91.1	92.5	91.5	91.1	90.4	89.8
Stocks	...	...	...	...	...	...	0.5
Mortgage Loans	0.3	0.9	0.4	1.1	1.2	2.0	2.6
Other Invested Assets	5.7	5.3	4.9	4.8	4.8	4.7	5.0
Total Unaffiliated	99.7	99.6	99.6	99.6	99.6	99.6	99.6
Investments in Affiliates	0.3	0.4	0.4	0.4	0.4	0.4	0.4
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	...	...	0.9	4.9	6.1	19.6
Government Agencies and Municipal Bonds	...	...	0.4	0.5	0.6	16.4
Industrial and Miscellaneous Bonds	0.1	0.9	3.4	21.1	61.2	21.6
Total Bonds	0.1	1.0	4.7	26.5	67.8	21.3

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	1,398,079	1,227,729	1,177,291	1,112,367	992,352
US Government (%)	11.8	11.3	13.3	22.7	30.0
Foreign Government (%)	...	...	...	0.2	...
Foreign - All Other (%)	12.2	11.1	8.8	7.6	6.6
State, Municipal & Special Revenue (%)	1.5	2.7	5.4	5.7	5.5
Industrial & Miscellaneous (%)	74.5	74.9	72.4	63.8	57.9
Hybrid Securities (%)	...	...	0.1	...	...
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Operating Performance

IA has continued to focus on growth in the US which contributed to solid premiums growth over the past few years. The five-year compound annual growth rate of the groups net premiums written as of year-end 2024 exceeded 13%. Through 2Q 2025 IAALG continued to report solid growth in overall direct written premiums, most of which comprised of its individual life business. Due to this growth, the company has experienced increased earnings strain from new business sales despite effects of this have being more muted in recent years with 2022 and 2023 generating positive statutory net earnings. Further underwriting strain returned the group to a net loss position in 2024 but has been profitable through 2Q 2025. Net investment income has been on a favorable trend over the long-term due to both a larger base amount invested and improving yield since interest rates began to rise in 2022. The momentum is good for this segment, as statutory profits are starting to emerge, while IFRS earnings have been steadily positive, driven by good pricing. The company continues to make efforts to reduce its general expenses and deems these reductions as a part of one of their critical operational objectives. The group's future earnings will be dependent on its individual life and dealer services businesses. AM Best expects that the group will continue to deliver operating synergies going forward. AM Best also continues to recognize that IAALG continues to receive the full financial support of its ultimate parent.

Operating Performance (Continued...)

Year End - December 31

Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	-11,739	129	20,612	-2,129	-22,273
Group Life	-249	-245	-1,120	-279	-460
Individual Annuities	-1,623	-195	-470	-265	-371
Group Annuities	-3	-1	...	...	-9
Accident & Health	1,000	687	565	1,280	1,157
Total	-12,615	374	19,588	-1,393	-21,956

Source: BestLink® - Best's Financial Suite

Year End - December 31

Accident & Health Statistics	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	1,953	2,119	2,271	2,440	2,624
Net Premiums Earned USD (000)	1,953	2,123	2,270	2,447	2,613
Claims and Cost Containment Ratio (%)	7.2	35.2	45.2	9.9	20.9
Expense Ratio (%)	39.0	34.3	31.6	30.8	31.4
Combined Ratio (%)	46.2	69.5	76.8	40.7	52.3
Underwriting Results USD (000)	1,050	649	526	1,453	1,243

Source: BestLink® - Best's Financial Suite

Business Profile

The following text relates specifically to IA American Life Group (AMB# 070453):

The IA American Life Group (IAALG) is comprised of IA American Life Insurance Company (IAA), Pioneer Security Life Insurance Company (PSL), American-Amicable Life Insurance Company of Texas (AAL), Pioneer American Insurance Company (PAIC) and Occidental Life Insurance Company of North Carolina (OLIC). All companies are owned by Industrial Alliance Insurance and Financial Services Inc. (IA). IA is the fourth largest life and health insurance company in Canada with operations in all regions of the country, as well as in United States. IAA is a life insurance company licensed in 48 states and Puerto Rico, and its home office resides in Waco, Texas.

American-Amicable Life Insurance Company of Texas (AAL) is owned by Pioneer Security Life Insurance Company (PSL). PSL is a wholly owned subsidiary of IA American Life Insurance Company (IAA) and is domiciled in Waco, Texas. PSL and its three downstream life insurance subsidiaries: American-Amicable Life Insurance Company of Texas, Pioneer American Insurance Company and Occidental Life Insurance Company of North Carolina are referred to as the American-Amicable Group (American-Amicable). AAL's operations are conducted in 48 U.S. states and Puerto Rico. IAALG underwrites and markets individual life products primarily through independent agents and independent marketing organizations that are focused in the final expense, government personnel, individual civilian, worksite, and single premium whole life markets. Through its unified marketing approach, IAALG offers a portfolio of traditional forms of individual permanent and term life products, as well as universal life and interest-sensitive life products. Group association level and decreasing term life products are also available. IA management continues to modify and introduce new products to meet the needs of its customers of the IAALG. The company works with Everest, a funeral planning and concierge service provider.

Overall direct premium written at IAALG has generally increased over the past several years due to growth of its core individual life segment enhanced by diversification into the civilian individual, single premium whole life and final expense markets, and the introduction of new life products and expansion of its distribution network. While not currently a member of IAALG the recent acquisition of Vericity Inc. in June 2024 and two existing US blocks of final expense and term life business from Prosperity Life Group in August 2024 offer additional opportunities for the greater organization to continue its US expansion. Going forward, AM Best expects the group to maintain its controlled top-line growth strategy with the majority of new life sales derived from its civilian individual and final expense market niches.

The following text is derived from Best's Credit Report on Industrial Alliance Insurance and Financial Services Inc. (AMB# 067450):

iA Financial Group (IAG) offers a wide range of life and health insurance products, savings and retirement plans, RRSPs, investment funds, mortgage loans, securities brokerage services, general insurance, as well as other financial services. The life insurance

Business Profile (Continued...)

companies distribute these products throughout Canada in different geographic regions. IAG has historically conducted activities through five main sectors: Individual Insurance, Individual Wealth Management, Group Insurance and Group Savings, US Operations and Retirement, using a multi-channel distribution network. The network includes traditional career agents, MGAs, national accounts, mutual fund representatives (many of whom are career agents and insurance brokers with a mutual fund license) and securities brokers. IAG has an agreement with Vancity, one of Canada's largest Credit unions (based in British Columbia), for the distribution of its mutual funds through Vancity. New segments were introduced in 2023 with three primary operational segments and two supporting segments. The three operational segments are Insurance, Canada; Wealth Management; and US Operations with the two supporting segments being Investment and Corporate.

Employee Plans offers life, accident, accidental death and dismemberment, health (including medical expenses), dental, short and long-term disability, critical illness and home care, medical assistance outside Canada and other group insurance products. Other services offered are: health spending accounts, employer and employee support programs and group insurance for small and medium-sized businesses. Employee plans are primarily aimed at the medium-sized business market, but also administer the plans of many large companies, in addition to union members and professional associations, as well as those of small businesses. These products are offered on an insured basis, an experience basis, or an administrative services only (ASO) contract basis. The products in this sector are distributed mainly through market intermediaries (specialized brokers and employee benefits consultants), policyholders (employers, unions and professional associations) and insured members. Representatives in these networks work in partnership with IAG sales and service teams that conduct activities from six cities: Halifax, Quebec City, Montreal, Toronto, Calgary and Vancouver. Prior initiatives within this segment included the introduction of new functions in Web@dmn (on-line claims function), improvement of the business processes, employee training, and improved customer service, which included hiring more customer service representatives.

Dealer Services markets insurance products (life, disability and critical illness) primarily to automobile and recreational vehicle dealers. These products are distributed through an exclusive Canada-wide direct distribution network from offices in Vancouver, Edmonton, Saskatoon, Winnipeg, Toronto, Montreal and Halifax. Creditor insurance sales continue to be a notable product for the group but sales and their growth are mainly reliant on the number of new vehicles sold, the expansion of the distribution network and the demand for credit products such as mortgage loans or personal loans. Over the years, growth has been primarily attributable to signing new motor vehicle dealers, retaining and leveraging business relationships with existing dealers to get improved penetration, high retention of in-force dealer clients and improved penetration rate among the dealer's clients. Despite economic environment fluctuations in recent years, IAG has reported solid performance from the distribution network, which signed on new motor vehicle dealers and leveraged its business relationships with existing dealers. In addition to creditor insurance products, Dealer Services offers extended warranties and a full range of P&C ancillary products with the objective to offer "one stop shopping" for the after-market needs of dealers and distributors. Dealer Services also distributes other types of creditor insurance products to financial institutions. IA is ranked number one in Canada in the creditor insurance market among motor vehicle dealers, with a market share of roughly 40%.

Special Markets (SM) specializes in certain group insurance niche market segments whose needs are not well served by traditional group insurance carriers. SM primarily offers accidental death and dismemberment (AD&D) insurance and other specialized insurance products to employers and associations, travel and health insurance (through distribution partners), student health insurance (through student associations), student accident insurance to school boards, and term life insurance to alumni associations and other affinity groups. SM distributes its products mainly through brokers and distribution partners from four regional sales offices located in Vancouver, Calgary, Toronto and Montreal that are staffed by their own personnel. SM's core strength is a reputation for customer service and special risk solutions combined with expertise that enables the sales force to maintain relationships with business partners across Canada. While growth was temporarily curbed by the COVID-19 pandemic the division has continued to grow by leveraging its expertise and relationships, leading to more recent increases in business development opportunities.

Group Savings and Retirement offer specialized products and services adapted to the needs of retirement plan members. The group pension segment is focused on small and mid-sized groups and is active in two market segments: accumulation products and insured annuities. Accumulation products consist of retirement savings accumulation contracts. It includes full investment and administration services for defined contribution and defined benefit plans, group RRSPs and deferred profit-sharing plans. Insured annuities include a selection of annuity contracts guaranteed by the company. The business line's products are distributed through three distribution networks. The first consists of actuarial consulting firms; the second of specialized group insurance brokers interested in optimizing their business relations by offering retirement solutions to their clients; and the third is made up of brokers and career agents associated with Industrial Alliance. The company has sales offices in Halifax, Quebec City, Montreal, Toronto, Calgary and Vancouver. Clients who are members of these plans have access to a wide range of investment options, including guaranteed investment certificates and a family of over 80 segregated funds. These funds offer investment diversity in the primary global economies and various asset classes (stocks, bonds, etc.) and various management styles.

History

Business Profile (Continued...)

Industrial Alliance was a mutual life insurance company originated on January 1, 1987 through the merger of Industrial Life Insurance Company (founded in 1905) and Alliance Nationale (founded in 1892). In 1996, the company amalgamated with The Solidarity Life Insurance Company.

Prior to the merger between the two companies, Industrial Life acquired the North West Life Assurance Company of Canada, British Columbia, in 1982 (later known as Industrial Alliance Pacific) and North West Life Assurance Company of America, Washington, in 1985 (sold in 2000). Following the merger of Industrial and Alliance, the new company acquired the National Life Assurance Company of Canada in 1988 from Continental Corporation, New York. National Life was integrated with Industrial Alliance on June 30, 2005. On January 6, 1999, Industrial Alliance purchased Vancouver B.C. based Seaboard Life Insurance Company from Eureko B.V., a Netherlands based holding company. Seaboard Life then merged with Industrial Alliance Pacific.

In 2008, Industrial Alliance closed the acquisition of L'Excellence, a Quebec-based insurance company that specialized in individual disability and health insurance, as well as the brokerage companies with which L'Excellence is associated. Also, in 2008, Industrial Alliance closed the acquisition of the shell company, United Family Life Insurance Company, in the U.S., which was renamed IA American Life Insurance Company. In all, Industrial Alliance has completed over 65 acquisitions since its IPO in 2000 and over 25 since 2015, the latest of which was acquiring Vericity, a middle market US direct-to-consumer focused life insurance carrier and digital agency in June 2024.

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	562,232	91.6	212,585	99.1	244,265	98.2	530,552	91.6	68.5
Group Life	2,888	0.5	...	...	1	...	2,887	0.5	100.0
Individual Annuities	48,371	7.9	...	...	4,246	1.7	44,126	7.6	91.2
Accident & Health	237	...	1,923	0.9	207	0.1	1,953	0.3	90.4
Total	613,729	100.0	214,507	100.0	248,718	100.0	579,518	100.0	70.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
California	70,066	64,977	59,787	55,160	48,288
Texas	64,849	59,553	54,746	50,674	44,982
Florida	44,217	39,970	36,056	33,188	28,440
North Carolina	34,362	31,339	28,919	26,963	24,491
Georgia	34,198	30,281	26,856	24,469	21,964
Top 5 States	247,693	226,121	206,365	190,453	168,166
All Other	364,229	319,336	279,748	246,264	209,106
Total	611,922	545,456	486,113	436,717	377,272
Geographic Concentration Index	0.05	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

IAG has developed and implemented an integrated risk management program that is used in designing its business strategies and consistently applied to all of its operations. IAG's goal of the program is to identify, assess, manage and monitor the risks it is exposed to in the course of its operations and to ensure that any pertinent information regarding these risks is communicated and shared on a regular and timely basis with the various people involved in the program. This program also provides the board of directors with information to help ensure sound risk management is being practiced within the entire organization. The program is governed by a global policy. The policy classifies and defines the risks IA is exposed to and outlines the risk management organizational structure, which includes the roles and responsibilities of the various individuals involved in the risk management process, and identifies the key steps in the risk management process.

Enterprise Risk Management (Continued...)

The integrated risk management program is also applied to IAG's subsidiaries. AM Best notes that the liability profile of the U.S.- based life insurance companies remains low to medium and, as a result, the overall risk management program is viewed to be acceptable.

Reinsurance Summary

In 2020 IAA entered into two reinsurance agreements, both specific to the company's final expense block of business. The first agreement was a 75% YRT non-guaranteed premium treaty applied to the existing in force block. The second agreement was a 50% YRT with guaranteed premiums that covered new business production. Two new reinsurance agreements were effected in 2022 via formal letters of intent, one on existing in force business and the second covering new business going forward. Both agreements are guaranteed YRT. For the in force business the ceding company can select the quota share between 25%-75% and for the new business the ceding company can select which policies to cede along with the quota share for each policy.

Environmental, Social & Governance

The company aims at sustaining growth and well-being for stakeholders, focusing on some of the UN sustainable development goals, including: good health and well-being, decent work and economic growth, reduced inequalities within and among countries, sustainable cities and communities and climate action.

The company signed the Statement by the Quebec Financial Centre for a Sustainable Finance and also lobbied for Canada to host the International Sustainability Standards Board (ISSB). The company also adopted and published a responsible investment policy and a proxy voting guideline and launched eight new socially responsible investment funds in recent years for a total of 18. The group also published its first Sustainability Bond Framework, which enabled the company to introduce an inaugural sustainability bond issuance and therefore enhance its ability to finance the sustainability strategy to support its commitment to ESG standards. Finally, the group has been a signatory of the United Nations-supported Principles for Responsible Investment since 2019.

Rating Lift/Drag

IA American Life Group is provided lift from the lead rating group Industrial Alliance & Financial Services AMB # 67450. AM Best expects that the group will continue to receive the support of IA, as the parent is fully committed to the success of its U.S. operations providing substantial capital support, which was particularly evident during the height of the COVID-19 pandemic with notable capital contributions in 2020 and 2021 to offset operating losses. The group received further capital contributions from the parent organization in the second half of 2024.

Financial Statements

	6-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	35,917	2.1	27,625	1.7	28,418	2.0
Bonds	1,457,108	85.5	1,398,079	85.7	1,227,729	86.8
Other Invested Assets	102,109	6.0	85,856	5.3	85,363	6.0
Total Cash and Invested Assets	1,595,134	93.6	1,511,561	92.7	1,341,510	94.9
Premium Balances	1,472	0.1	1,051	0.1	536	...
Net Deferred Tax Asset	43,431	2.5	41,780	2.6	31,047	2.2
Other Assets	64,766	3.8	76,318	4.7	40,966	2.9
Total General Account Assets	1,704,803	100.0	1,630,709	100.0	1,414,059	100.0
Total Assets	1,704,803	100.0	1,630,709	100.0	1,414,059	100.0
Net Life Reserves	1,375,838	80.7	1,311,798	80.4	1,165,124	82.4
Net Accident & Health Reserves	6,005	0.4	6,212	0.4	6,723	0.5
Liability for Deposit Contracts	10,187	0.6	10,142	0.6	10,369	0.7
Asset Valuation Reserve	11,152	0.7	9,882	0.6	8,378	0.6
Other Liabilities	53,578	3.1	48,720	3.0	43,837	3.1
Total General Account Liabilities	1,456,760	85.5	1,386,754	85.0	1,234,431	87.3
Total Liabilities	1,456,760	85.5	1,386,754	85.0	1,234,431	87.3
Capital Stock	11,640	0.7	11,640	0.7	11,640	0.8
Paid-In and Contributed Surplus	377,226	22.1	377,226	23.1	277,226	19.6
Unassigned Surplus	-145,129	-8.5	-148,166	-9.1	-110,455	-7.8
Other Surplus	4,306	0.3	3,254	0.2	1,217	0.1
Total Capital and Surplus	248,043	14.5	243,955	15.0	179,628	12.7
Total Liabilities, Capital and Surplus	1,704,803	100.0	1,630,709	100.0	1,414,059	100.0

Source: BestLink® - Best's Financial Suite

	6-Months		Year End - December 31	
	2025	2024	2024	2023
Income Statement USD (000)				
Net Premiums Earned:				
Individual Life	...	...	530,552	432,768
Group Life	...	...	2,887	2,865
Individual Annuities	...	...	44,126	39,511
Accident & Health	...	...	1,953	2,119
Total Net Premiums Earned	304,427	255,333	579,518	477,263
Net Investment Income	36,108	29,733	62,049	53,787
Other Income	36,425	38,569	74,325	107,074
Total Revenue	376,959	323,635	715,892	638,125
Policy Benefits	140,856	124,992	294,327	239,956
Commissions and Expense Allowances	172,970	149,213	341,347	311,355
Insurance and Other Expense	46,893	42,243	92,391	66,345
Dividends to Policyholders	134	148	291	303
Pre-Tax Net Operating Gain	16,106	7,039	-12,464	20,166
Income Taxes Incurred	7,329	7,195	152	19,792
Net Operating Gain	8,777	-156	-12,615	374
Net Realized Capital Gains	...	...	...	...
Net Income	8,777	-156	-12,615	374

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	303,521	254,021	577,748	477,883
Net Investment Income	34,378	28,906	59,301	51,431
Other Income Received	36,760	38,563	74,504	105,169
Total Collected Operating Revenue	374,660	321,490	711,552	634,482
Net Benefits and Loss Related Payments	75,518	73,321	147,569	127,267
Commissions and Other Expenses Paid	225,838	196,604	429,097	375,100
Dividends to Policyholders	148	156	297	311
Income Taxes Paid (Recovered)	-1,314	-1,356	1,410	13,554
Total Paid Expenses and Transfers	300,190	268,724	578,374	516,231
Net Operating Cash Flow	74,470	52,766	133,178	118,251

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

In arriving at a rating decision, AM Best relies on third-party audited financial data and/or other information provided to it. While this information is believed to be reliable, AM Best does not independently verify the accuracy or reliability of the information. Any and all ratings, opinions and information contained herein are provided "as is," without any express or implied warranty.

Visit <https://www.ambest.com/ratings/index.html> for additional information or <https://web.ambest.com/about/terms-of-use> for details on the Terms of Use.



Copyright © 2025 A.M. Best Company, Inc. and/or its affiliates. All rights reserved No portion of the content may be reproduced, distributed, or stored in a database or retrieval system, or transmitted, or uploaded into any external applications, algorithms, bots or websites, including those using artificial intelligence or machine learning technologies such as large language models (LLM) and generative artificial intelligence (Gen-AI) or retrieval-augmented generation (RAG) in any form or by any means without the prior written permission of AM Best. AM Best does not warrant the accuracy, completeness, or timeliness of the AM Best content. While the content was obtained from sources believed to be reliable, its accuracy is not guaranteed. You specifically acknowledge that neither AM Best nor the content gives any investment, financial, tax, insurance, or legal advice. You are solely responsible for seeking competent professional advice before making any investment, financial, tax or insurance decision. For additional details, refer to our *Terms of Use* available at the AM BEST website: <https://web.ambest.com/about/terms-of-use>. All information contained herein was obtained by AM BEST from sources believed by it to be accurate and reliable. Notwithstanding the foregoing, AM BEST does not make any representation or warranty, expressed or implied, as to the accuracy or completeness of the information contained herein, and all such information is provided on an "as is" and "as available" basis, without any warranties of any kind, either express or implied. Under no circumstances shall AM BEST have any liability to any person or entity for (a) any loss or damage of any kind, in whole or in part caused by, resulting from, or relating to, any error (negligent or otherwise) or other circumstance or contingency within or outside the control of AM BEST or any of its directors, officers, employees, or agents in connection with the procurement, collection, compilation, analysis, interpretation, communication, publication or delivery of any such information, or (b) any direct, indirect, special, consequential, compensatory, punitive or incidental damages whatsoever (including without limitation, personal injury, pain and suffering, emotional distress, loss of revenue, loss of present or prospective profits, loss of business or anticipated savings, or loss of goodwill) resulting from the use of, or inability to use, any such information, in each case, regardless of (i) whether AM BEST was advised in advance of the possibility of such damages, (ii) whether such damages were foreseeable, and (iii) the legal or equitable theory (contract, tort or otherwise) upon which the claim is based. The credit ratings, performance assessments, financial reporting analysis, projections, and any other observation, position or conclusion constituting part of the information contained herein are, and shall be construed solely as, statements of opinion and not statements of fact or recommendations to purchase, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor do they individually or collectively address the suitability of any particular financial obligation for a specific purpose or purchaser. Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. Service performance risk is the risk that an entity may not meet its contractual service performance obligations on behalf of its insurance partners. Consequently, neither credit ratings nor performance assessments address any other risk, including but not limited to, liquidity risk, market value risk or price volatility of rated securities. NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR ASSESSMENT OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY AM BEST IN ANY FORM OR MANNER WHATSOEVER. Each credit rating, performance assessment or other opinion must be weighed solely as one factor in any investment or purchasing decision made by or on behalf of any user of the information contained herein. Each such user will, with due care, make its own study and evaluation of each security or other financial obligation, and of each issuer and guarantor of, and each provider of credit support, and an independent view of service provider performance for, each security or other financial obligation that it may consider purchasing, holding, or selling or for each service contract that it may consider entering into. For additional detail on credit ratings or performance assessments, and their respective scales, usage, and limitations, refer to the Guide to Best's Credit Ratings (<https://www.ambest.com/ratings/index.html>) or the Guide to Best's Performance Assessments (<https://www.ambest.com/ratings/assessmentMethodology.html>).

Reports were prepared exclusively for the use of Sarah Barchman. Not for redistribution unless otherwise permitted.